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Company Registration No. 06133975 (England and Wales)

LUTON TOWN FOOTBALL CLUB 2020 LTD

REPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 30 JUNE 2024

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LUTON TOWN FOOTBALL CLUB 2020 LTD

COMPANY INFORMATION

Directors	G Sweet D Wilkinson P Ballantyne R Curson S Browne R Stringer T Schofield
Secretary	D Wilkinson
Company number	06133975
Registered office	Kenilworth Stadium 1 Maple Road East Luton Bedfordshire LU4 8AW
Auditor	RSM UK Audit LLP Chartered Accountants 4th Floor 100 Avebury Boulevard Milton Keynes Buckinghamshire MK9 1FH
Business address	Kenilworth Stadium 1 Maple Road East Luton Bedfordshire LU4 8AW

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LUTON TOWN FOOTBALL CLUB 2020 LTD

STRATEGIC REPORT

FOR THE YEAR ENDED 30 JUNE 2024

The directors present the strategic report for the year ended 30 June 2024.

Fair review of the business

The 2023/24 season was the club's first season in the top tier since 1991/92 but despite some truly memorable performances it ultimately ended in disappointment, as the club finished in 18th place in the Premier League and was relegated back to the EFL Championship.

Having secured promotion via the play-off final in May 2023 the club immediately set about planning for life in the Premier League, with improvements to Kenilworth Road stadium, including an entire new stand to accommodate more fans and meet the broadcast and media requirements of the league. There were also upgrades to the training facility at the Brache, new office space for back office staff and funds ringfenced for the club's longer term investment plans for an upgraded Academy and the new stadium at Power Court.

As well as infrastructure, one of the most important areas for investment was the playing squad, which started with the acquisition of Mads Andersen from Barnsley prior to the 2022/23 year end. As the summer transfer window progressed the club broke its transfer record on a number of occasions as it looked to improve the depth and quality of the squad. Player acquisitions included Chiedozie Ogbene from Rotherham, Tahith Chong from Birmingham, Marvelous Nakamba from Aston Villa, Ryan Giles from Wolverhampton Wanderers, Thomas Kaminski from Blackburn Rovers, Jacob Brown from Stoke City and Teden Mengi from Manchester United.

In addition free agents Tim Krul, Andros Townsend and Ross Barkley were added to the ranks to bring some extra Premier League experience, with the latter proving to be one of the bargains of the summer, proving he still had the quality to play at the top level of the game and finishing the season as Luton's player of the season. The squad was also strengthened by the loan signings of Albert Sambi Lokonga from Arsenal, who would form an outstanding midfield pairing with Ross Barkley, although his season was hampered by injury, as well as the pacey wing-back Issa Kabore from Manchester City.

The team initially found it difficult to find their feet at the higher level with defeats away at Brighton and Chelsea coming before a EFL Cup win at home to Gillingham. The club's first point of the season came in their fifth game as they drew 1-1 against a Wolverhampton Wanderers team reduced to ten men, but this was immediately followed by their first win, as they beat Everton 2-1 away from home at the end of September. Early November saw a remarkable performance end in heartbreak as Liverpool equalised at the death to deny the home fans their first home win of the season and they had to wait until the end of the month to finally see the team run out 2-1 winners against Crystal Palace at Kenilworth Road. Early December witnessed an end to end encounter again end in last minute dejection as Arsenal narrowly triumphed 4-3.

However, the truly seismic event of the season occurred on the pitch as Luton played Bournemouth at the Vitality Stadium as club captain Tom Lockyer suffered a cardiac arrest. Thanks to the rapid actions of both clubs' medical staff, as well as emergency service workers, Tom's life was saved and tragedy was averted but, understandably, he would not feature for the rest of the season. The incident seemed to galvanise the team as they immediately put together back-to-back wins for the first time in the season, shortly followed, at the end of January, by their most impressive result in the Premier League as they ran out 4-0 winners at home against Brighton.

January also afforded the opportunity to bolster the squad with the arrivals of Japanese international Daiki Hashioka from Sint-Truiden and Tom Holmes and Taylan Harris both from Reading. In hindsight the club might have reinforced more, as from the turn of the year onwards, injuries began to blight the season with a number of key players succumbing to long term issues that would see them miss all or large parts of the remainder of the season. Indeed the club recorded eleven missing players in a single game week, the joint-highest in the 2023/24 season, whilst eighteen of the twenty six man squad were ruled out at some point, with many of these injuries concentrated in the second half of the season, severely hampering the team's efforts to avoid the drop.

The season was also notable for the first points deductions by the Premier League for breaches of profitability and sustainability rules which made for a hard fought relegation battle running to the penultimate game of the season. The team took on West Ham United at the London Stadium on the 11th of May 2024 where a 3-1 defeat confirmed the club's relegation back to the EFL Championship.

LUTON TOWN FOOTBALL CLUB 2020 LTD

STRATEGIC REPORT (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

The team received many acknowledgments for the way they acquitted themselves throughout the season, having been favourites to go straight back down at the outset. It was an impressive feat, with a comparatively limited budget, to have fought to the second to last game of the season. But with relegation confirmed, the rebuilding job began with several key players departing during the summer transfer window including the incomparable Ross Barkley.

At the time of presenting these financial statements, the first team is occupying the lower half of the EFL Championship table having had a difficult start to the 2024/25 season. The sizeable uplift in broadcast revenue as a result of parachute payments has allowed the club to invest heavily in its long term strategic plan.

Financial Overview
Promotion to the Premier League resulted in significantly increased costs in 2022/23, as bonuses, contingent fees and other related costs were incurred, but also led to a huge increase in turnover in 2023/24, as the club received Premier League broadcasting distributions for the first time. Player wages also increased enormously from EFL Championship levels, but gross profit still swung upwards by over £70m, illustrating the financial dominance of the top tier of the English game.

Administrative expenses increased by approximately forty percent as the club grew to support the demands of the Premier League and player trading activity was largely limited to acquisitions to improve the squad, which accounts for the low level of related profit.

It is important to note, that due to on-going strategic investment and the way in which capital expenditure is accounted for, the £48.9m operating profit is not excess cash, indeed the club's bank balance is marginally lower at the end of June 2024, than it was one year previously. All profits are reinvested to support the club's long term ambitions. For example the football club funded the Bobbers Stand redevelopment, spent over £25m on player acquisitions, paid out promotion bonuses relating to 2022/23 season and made early repayment of the EFL COVID loan. For transparency, it should be noted that no dividends have been paid to Directors from the club's profits.

A summary of provided below:

	2024 £'000	2023 £'000
Turnover	132,321	18,427
Operating Costs	(84,881)	(39,450)
Other Operating income	225	14
Operating profit/(loss) before player trading	47,666	(21,009)
Player trading	1,216	4,716
Operating profit/(loss)	48,883	(16,294)

Key performance indicators
The company considers there to be a number of financial and non-financial key performance indicators ("KPI's") which are used in assessing the success of the company:

	2024	2023
Turnover (£'000)	132,322	18,427
Operating profit/(loss) before player trading (£'000)	47,666	(21,009)
EBITDA (£'000)	59,527	(13,674)
All-staff wages to turnover ratio (%)	43%	150%
Net book value of intangible assets (£'000)	22,293	7,886
Average football league attendance	11,276	9,856
Academy players registered in first team squad	20	19

LUTON TOWN FOOTBALL CLUB 2020 LTD

STRATEGIC REPORT (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

The club invested a significant portion of the Premier League distributions in the playing squad as reflected in the increased net book value of £22.3m. The new Bobbers Stand, as well as various other improvement works around Kenilworth Road, raised the ground's capacity and that, in conjunction with the return of top flight football resulted in a large increase in average attendances. The wages to turnover ratio dropped significantly, as promotion bonuses were included in the 2022/23 wage costs, whilst squad costs were controlled in 2023/24 to mitigate the risk of relegation.

Principal risks and uncertainties
Having gained promotion to the Premier League at the end of the 2022/23 season, and with parachute payments guaranteed for two years on relegation, the club has secured significantly increased revenues until at least 2025/26. However, this remains an uncertain time for the game with the Football Governance Bill aiming to establish an independent regulator to ensure English football is financially sustainable. The redistribution of broadcast revenue down the football pyramid remains an open question.

Financial risk management objectives and policies

League status risk
Due to the current distribution model of the football league, a principal risk for the football club is the performance of the first team in relation to league status. The group manages the impact of this through control of player wages (relegation clauses) and situational planning dependent upon league status.

Credit risk
Financial instruments that potentially subject the club to credit risk consist primarily of cash equivalents and accounts receivable. These instruments contain a risk of counterparties failing to discharge their obligations. The club monitors credit risk and manages credit risk exposure by assessing the creditworthiness of counterparties. Due to the diversity of the debtor portfolio, the club does not assess this to pose a significant risk to the club at present.

Liquidity risk
Our liquidity needs are affected by our performance on the pitch which impacts revenues and wage costs. Budgets and cash flows are prepared annually and forecasts are updated on a monthly basis so funding requirements are planned and approved well in advance. Despite relegation from the Premier League, the guaranteed parachute payments for the following two seasons mean the Board assesses this risk as low.

Operational risk
The club operates a cashless stadium and has introduced access control systems for staff and fans. This has greatly reduced operational risk associated with cash payments and unauthorised entry.

Future developments
The club's long-term plan to consolidate towards the top of the football pyramid remains on course, particularly following promotion to the Premier League and the financial rewards that brought.

The club will continue to invest in a strong playing squad, as well as vital infrastructure, including the training ground and new stadium at Power Court. The long held ambition of upgrading the Academy to EPPP2 (Elite Player Performance Plan) will also be progressed in the coming year.

LUTON TOWN FOOTBALL CLUB 2020 LTD

STRATEGIC REPORT (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

Statement of the directors in performance of their statutory duties in accordance with S172 (1) Companies Act 2006

Section 172 of the Companies act 2006 requires the group to include a statement describing how the directors have had regard for the matters set out in section 172(1) (a) to (f) in their decision making.

The below information has been included in the financial statements in order meet the Strategic Report requirements as well as the Directors Report requirements for enhanced wording on employee engagement and business relationships.

Employee Engagement
The group holds weekly management meetings, either in person or virtually, attended by departmental managers in order to ensure that information can then be disseminated downwards to each department and employee.

The group actively encourages employees in any efforts to further their development via flexible working hours and the funding of external training where applicable.

In 2014 Luton Town Football Club became the first English professional football club to become a fully accredited Living Wage employer, paying the 'Real Living Wage'. The commitment to pay all employees a 'Real Living Wage' has been maintained throughout the period.

Administrative employees are provided the required office equipment in order to ensure that working from home is a realistic and safe option.

The group offers a range of support to promote the health and mental wellbeing of staff. The Employee Assistance Programme (EAP), which is confidential and managed independently by Health Assured, is available to all staff and immediate family members. Annual health assessments are also undertaken for key workers and senior executives.

The group continues to be an equal opportunities employer which is designed to ensure that all applicants and employees receive the same treatment. Through the implementation of these principles, the group has a staff that reflects the diversity of the town and wider region.

Upwards feedback from employees to managers is encouraged to drive improvement and employee engagement. Employees are frequently involved in decision making through discussions with their managers.

Suppliers
The group continues to foster long term relationships by maintaining high standards of business conduct. Department heads are responsible for ensuring that close communication is maintained with suppliers to allow continued engagement and custom which is fair for both the group and the supplier. Local suppliers are utilised where possible, in order to benefit the local economy.

Customers
Supporters of the club represent the most important customers of the group. Through the use of the club's website and social media channels, the group is committed to communicating clearly and honestly with the fanbase. The group also use these mediums to listen to feedback from supporters as well as distributing post-match questionnaires to identify areas for improvement.

The group is actively engaged with the Luton Town Supports Trust (LTST), meeting with them on a regular basis. Additionally, the Trust has the legal right to veto any future changes to Luton's identity, including its name, nickname, colours, club crest and mascot. The CEO has also set up a direct messaging group chat with all LTST committee members to increase transparency and immediacy of feedback on any issues.

Besides supporters, the group also has key customers such as sponsors, advertisers and tenants. Communication with each customer is maintained by the relevant department head to ensure a positive customer relationship.

LUTON TOWN FOOTBALL CLUB 2020 LTD

STRATEGIC REPORT (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

Community and Environment

Since acquiring ownership, the board has been committed to ensuring that the group has a positive impact upon the local community and environment.

The group promotes the work of the Luton Town Community Trust, the official charity of Luton Town Football Club. The Trust aims to help disadvantaged and vulnerable members of the local community.
The group has consistently made the conscious decision to avoid gambling sponsorship in the stadium, on the website or on any aspect of the player kits. This is a matter of principle for the group and the board believe strongly that gambling should not be promoted, particularly where children are exposed to such advertising.

Central to the ambitious development projects is a desire to bring economic growth and prosperity to the local economy. Throughout the design and development stage of these key projects consultation has been held with the local community to ensure that there has been a focus on delivering an end result which is mutually beneficial to both the group and the inhabitants of Luton and Bedfordshire.

With regards to the long term sustainability of the environment, the board always consider the group's impact when making key decisions. The primary waste removal supplier for the group sorts the waste to ensure that materials are recycled and land-fill waste is minimised. The retail department use compostable mailing bags for posting online orders and paper bags in store so that plastic waste can be reduced.

The stadium development project at Power Court has been designed with the environment in mind incorporating cutting edge design which minimises impact upon the environment and promotes long term sustainability.

Key Board Decisions

During the period the board made a number of key decisions which were considered to be in the interests of the group and other key stakeholders:

- The board continued their investment into the Power Court development project. It is felt that the construction of a new stadium and surrounding development is key to the long term success of the group as well as the prosperity of the local area.
- The board have also invested in the Academy as it continues to pursue EPPP 2 (Elite Player Performance Plan) category status and plans to significantly improve the facilities over the next ear. As well as the potential benefit to the club of developing young talent for the senior squad, this also provides aspiration and encouragement to young people in the local area.
- The board continued to invest in the senior squad, resulting in promotion to the Premier League its associated financial rewards.

On behalf of the board

Signed by:
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D Wilkinson
Director

Date: 20/12/2024

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LUTON TOWN FOOTBALL CLUB 2020 LTD

DIRECTORS' REPORT

FOR THE YEAR ENDED 30 JUNE 2024

The directors present their annual report and financial statements for the year ended 30 June 2024.

Principal activities
The principal activity of the company continues to be that of a professional football club.

Directors
The directors who held office during the year and up to the date of signature of the financial statements were as follows:

G Sweet
D Wilkinson
P Ballantyne
M Herrick (Resigned 29 October 2024)
R Curson
S Browne
R Stringer
T Schofield

Results and dividends
The results for the year are set out on page 12.

No ordinary dividends were paid. The directors do not recommend payment of a final dividend.

Qualifying third party indemnity provisions
The company has made qualifying third party indemnity provisions for the benefit of its directors during the year. These provisions remain in force at the reporting date.

Research and development
A crucial aspect of the companies operations includes a specialist sports science and sports medicine team. Having decades of technical experience in the field among its highly qualified sports science and sports medicine workforce, the company researches and develops an extensive range of state of the art and innovative solutions towards injury rehabilitation, physiological performance and injury prevention. The technical team have undergone continuous training and development in order to embed new innovation within their practices. This has facilitated the prognosis and successful treatment in highly complex and high profile cases.

Disabled persons
Applications for employment by disabled persons are always fully considered, bearing in mind the aptitudes of the applicant concerned. In the event of members of staff becoming disabled, every effort is made to ensure that their employment within the group continues and that the appropriate training is arranged. It is the policy of the group that the training, career development and promotion of disabled persons should, as far as possible, be identical to that of other employees.

Energy and carbon reporting

The company does not report under the Streamlined Energy and Carbon Reporting regulations as its energy and carbon data are reported in the consolidated group accounts.

Auditor
RSM UK Audit LLP have indicated their willingness to be reappointed for another term and appropriate arrangements have been put in place for them to be deemed reappointed as auditors in the absence of an Annual General Meeting.

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LUTON TOWN FOOTBALL CLUB 2020 LTD

DIRECTORS' REPORT (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

Strategic report

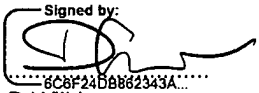
The company has chosen in accordance with Companies Act 2006, s. 414C(11) to set out in the company's strategic report information required by Large and Medium-sized Companies and Groups (Accounts and Reports) Regulations 2008, Sch. 7 to be contained in the directors' report. It has done so in respect of financial risk management objectives and policies future developments and employee engagements.

Statement of disclosure to auditor

So far as each person who was a director at the date of approving this report is aware, there is no relevant audit information of which the company's auditor is unaware. Additionally, each director has taken all the necessary steps that they ought to have taken as a director in order to make themselves aware of all relevant audit information and to establish that the company's auditor is aware of that information.

On behalf of the board

Signed by:



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D Wilkinson

Director

Date: 20/12/2024

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LUTON TOWN FOOTBALL CLUB 2020 LTD

DIRECTORS' RESPONSIBILITIES STATEMENT

FOR THE YEAR ENDED 30 JUNE 2024

The directors are responsible for preparing the Strategic Report and the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial period. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The directors are responsible for the maintenance and integrity of the company website. Legislation in the United Kingdom governing the preparation and dissemination of financial statements may differ from legislation in other jurisdictions.

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INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF LUTON TOWN FOOTBALL CLUB 2020 LTD

Opinion

We have audited the financial statements of Luton Town Football Club 2020 Ltd (the 'company') for the year ended 30 June 2024 which comprise the statement of comprehensive income, the statement of financial position, the statement of changes in equity and notes to the financial statements, including significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" (United Kingdom Generally Accepted Accounting Practice).

In our opinion, the financial statements:

- give a true and fair view of the state of the company's affairs as at 30 June 2024 and of its profit for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice;
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Other information

The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. The directors are responsible for the other information contained within the annual report. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the strategic report and the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report and the directors' report have been prepared in accordance with applicable legal requirements.

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF LUTON TOWN FOOTBALL CLUB 2020 LTD (CONTINUED)

Matters on which we are required to report by exception

In the light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the strategic report or the directors' report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors

As explained more fully in the directors' responsibilities statement set out on page 8, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

The extent to which the audit was considered capable of detecting irregularities, including fraud

Irregularities are instances of non-compliance with laws and regulations. The objectives of our audit are to obtain sufficient appropriate audit evidence regarding compliance with laws and regulations that have a direct effect on the determination of material amounts and disclosures in the financial statements, to perform audit procedures to help identify instances of non-compliance with other laws and regulations that may have a material effect on the financial statements, and to respond appropriately to identified or suspected non-compliance with laws and regulations identified during the audit.

In relation to fraud, the objectives of our audit are to identify and assess the risk of material misstatement of the financial statements due to fraud, to obtain sufficient appropriate audit evidence regarding the assessed risks of material misstatement due to fraud through designing and implementing appropriate responses and to respond appropriately to fraud or suspected fraud identified during the audit.

However, it is the primary responsibility of management, with the oversight of those charged with governance, to ensure that the entity's operations are conducted in accordance with the provisions of laws and regulations and for the prevention and detection of fraud.

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF LUTON TOWN FOOTBALL CLUB 2020 LTD (CONTINUED)

In identifying and assessing risks of material misstatement in respect of irregularities, including fraud, the audit engagement team:

- obtained an understanding of the nature of the industry and sector, including the legal and regulatory framework that the company operates in and how the company is complying with the legal and regulatory framework;
- inquired of management, and those charged with governance, about their own identification and assessment of the risks of irregularities, including any known actual, suspected or alleged instances of fraud;
- discussed matters about non-compliance with laws and regulations and how fraud might occur including assessment of how and where the financial statements may be susceptible to fraud.

As a result of these procedures we consider the most significant laws and regulations that have a direct impact on the financial statements are FRS 102, the Companies Act 2006, and tax compliance regulations. We performed audit procedures to detect non-compliances which may have a material impact on the financial statements which included reviewing financial statement disclosures and evaluating tax calculations.

The most significant laws and regulations that have an indirect impact on the financial statements are those in relation to English Football League (EFL) and English Premier League (EPL) regulations. We performed audit procedures to inquire of management whether the company is in compliance with these laws and regulations and inspected correspondence with the EFL and EPL.

The audit engagement team identified the risk of management override of controls as the area where the financial statements were most susceptible to material misstatement due to fraud. Audit procedures performed included but were not limited to testing manual journal entries and other adjustments and evaluating the business rationale in relation to significant, unusual transactions and transactions entered into outside the normal course of business.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at: https://www.frc.org.uk/auditorsresponsibilities This description forms part of our auditor's report.

Use of our report

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Signed by:
David Olsson
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David Olsson (Senior Statutory Auditor)
For and on behalf of RSM UK Audit LLP, Statutory Auditor
Chartered Accountants
4th Floor
100 Avebury Boulevard
Milton Keynes
Buckinghamshire, MK9 1FH

20/12/2024

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LUTON TOWN FOOTBALL CLUB 2020 LTD

STATEMENT OF COMPREHENSIVE INCOME

FOR THE YEAR ENDED 30 JUNE 2024

	Notes	2024 £	2023 £
Turnover	3	132,321,856	18,426,661
Cost of sales		(70,018,343)	(28,991,779)
Gross profit/(loss)		62,303,513	(10,565,118)
Administrative expenses		(14,862,601)	(10,458,209)
Other operating income	3	225,469	13,852
Profit on player trading and other related income		1,216,434	4,715,837
Operating profit/(loss)	7	48,882,815	(16,293,638)
Interest receivable and similar income	9	584,482	43
Profit/(loss) before taxation		49,467,297	(16,293,595)
Taxation	10	(7,778,473)	7,931,865
Profit/(loss) for the financial year		41,688,824	(8,361,730)

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Company Registration No. 06133975

LUTON TOWN FOOTBALL CLUB 2020 LTD

STATEMENT OF FINANCIAL POSITION

AS AT 30 JUNE 2024

	Notes	2024 £	2024 £	2023 £	2023 £
Fixed assets					
Intangible assets	12		22,293,438		7,885,715
Tangible assets	13		1,718,311		317,678
			24,011,749		8,203,393
Current assets					
Stocks	14	147,070		180,320	
Debtors falling due after more than one year	15	7,690,565		109,333	
Debtors falling due within one year	15	12,383,488		10,549,302	
Cash at bank and in hand		1,639,954		1,715,863	
		21,861,077		12,554,818	
Creditors: amounts falling due within one year	16	(16,993,014)		(32,133,862)	
Net current assets/(liabilities)			4,868,063		(19,579,044)
Total assets less current liabilities			28,879,812		(11,375,651)
Creditors: amounts falling due after more than one year	17		(1,000,000)		(2,475,000)
Net assets/(liabilities) excluding pension liabilities			27,879,812		(13,850,651)
Defined benefit pension liability	21		(258,903)		(217,264)
Net assets/(liabilities)			27,620,909		(14,067,915)
Capital and reserves					
Called up share capital	22		18,145,003		18,145,003
Profit and loss reserves	23		9,475,906		(32,212,918)
Total equity			27,620,909		(14,067,915)

The financial statements were approved by the board of directors and authorised for issue on 20/12/2024 and are signed on its behalf by:

Signed by:

6C8F24DB802343A...

D Wilkinson

Director

Docusign Envelope ID: 73231000-A20B-4343-8049-1010BB0F0FDC

LUTON TOWN FOOTBALL CLUB 2020 LTD

STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 30 JUNE 2024

	Share capital	Profit and loss reserves	Total
	£	£	£
Balance at 1 July 2022	18,145,003	(23,851,188)	(5,706,185)
Year ended 30 June 2023:			
Loss and total comprehensive income for the year	-	(8,361,730)	(8,361,730)
Balance at 30 June 2023	18,145,003	(32,212,918)	(14,067,915)
Year ended 30 June 2024:			
Profit and total comprehensive income for the year	-	41,688,824	41,688,824
Balance at 30 June 2024	18,145,003	9,475,906	27,620,909

Docusign Envelope ID: 73231000-A20B-4343-8049-1010BB0F0FDC

1 Accounting policies

Company information

Luton Town Football Club 2020 Ltd is a private company limited by shares and is registered and incorporated in England and Wales. The registered office is Kenilworth Stadium, 1 Maple Road East, Luton, Bedfordshire, LU4 8AW.

The company's principal activities and nature of its operations are disclosed in the Strategic and Directors' Reports.

Accounting convention

These financial statements have been prepared in accordance with FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" ("FRS 102") and the requirements of the Companies Act 2006, including the provisions of the Large and Medium-sized Companies and Groups (Accounts and Reports) Regulations 2008.

The financial statements are prepared in sterling, which is the functional currency of the company. Monetary amounts in these financial statements are rounded to the nearest £1.

The financial statements have been prepared under the historical cost convention. The principal accounting policies adopted are set out below.

This company is a qualifying entity for the purposes of FRS 102, being a member of a group where the parent of that group prepares publicly available consolidated financial statements, including this company, which are intended to give a true and fair view of the assets, liabilities, financial position and profit or loss of the group. The company has therefore taken advantage of exemptions from the following disclosure requirements:

- Section 7 'Statement of Cash Flows' – Presentation of a statement of cash flows and related notes and disclosures;
- Section 11 'Basic Financial Instruments' – Interest income/expense and net gains/losses for each category of financial instrument;
- Section 33 'Related Party Disclosures' – Compensation for key management personnel.

The financial statements of the company are consolidated in the financial statements of 2020 Holdings (England) Limited. These consolidated financial statements are available from its registered office, Kenilworth Stadium, 1 Maple Road East, Luton, Bedfordshire, LU4 8AW.

Going Concern

The 2023/24 season saw the Club play in the Premier League for the first time in its history. Promotion related costs including bonuses, contingent loan and transfer fees were recognised in the prior year's accounts and therefore the upside, including vastly increased broadcasting revenue was received and recognised in 2023/24. At the culmination of the 2023/24 season the Club was relegated from the Premier League and will therefore be in receipt of parachute payment for the next two seasons.

The directors have produced detailed financial forecasts to the end of the 2025/26 season under a number of scenarios and are confident that the increased revenue from the Club's time in the Premier League will provide sufficient working capital to meet the Club's needs during the forecast period. As such, the directors have concluded that it is appropriate to continue to adopt the going concern basis in preparing these financial statements.

The financial statements do not include any adjustments that would result if the company is unable to continue as a going concern.

LUTON TOWN FOOTBALL CLUB 2020 LTD

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

1 Accounting policies (Continued)

Turnover
Turnover includes all revenue from football and related commercial activities exclusive of VAT.

Gate receipts and other match day revenues are recognised as the games are played.

Revenue from season ticket sales is credited to income over the period to which it relates.

Sponsorship, advertising and other similar commercial income is recognised over the duration of the contracts to which it relates.

Player trading income
Player trading income is recognised on completion of contracts. Contingent trading income is recognised when the contractual milestones are achieved. The profit arising on player trading activity, being transfer income less associated fees paid and football league levies, is reported separately in the statement of comprehensive income after gross profit.

Other operating income
Donations are recognised upon receipt.

Intangible assets - player registrations
When acquired, the costs of obtaining players' registrations are capitalised and amortised evenly over the period of the associated player's contract. The amortisation period therefore varies by player depending on their contract. Provision is made where, in the opinion of directors, an impairment of the carrying value of the players' registrations has occurred. Potential future registration fees, contingent on certain conditions agreed in the registration contracts with the selling company, are disclosed as contingent liabilities (see note 25).

Profits or losses on the disposal of these registrations represents the fair value of the consideration receivable, net of any transaction costs, less the unamortised cost of the original registration.

Tangible fixed assets
Tangible fixed assets are initially measured at cost and subsequently measured at cost, net of depreciation and any impairment losses.

Depreciation is recognised so as to write off the cost of assets less their residual values over their useful lives on the following bases:

Fixtures, fittings and equipment	20% straight line
Motor vehicles	20% straight line

The gain or loss arising on the disposal of an asset is determined as the difference between the sale proceeds and the carrying value of the asset, and is credited or charged to profit or loss.

Stocks
Finished goods are valued at the lower of cost and net realisable value.

Financial instruments
The company has elected to apply the provisions of Section 11 'Basic Financial Instruments' of FRS 102 to all of its financial instruments.

Financial instruments are recognised when the company becomes party to the contractual provisions of the instrument.

1 **Accounting policies (Continued)**

Basic financial assets

Basic financial assets, which include accrued income, trade and other debtors are initially measured at transaction price including transaction costs and are subsequently carried at amortised cost, being transaction price less any amounts settled and impairment losses.

Impairment of financial assets

Financial assets are assessed for indicators of impairment at each reporting end date.

Financial assets are impaired where there is objective evidence that, as a result of one or more events that occurred after the initial recognition of the financial asset, the estimated future cash flows have been affected. If an asset is impaired, the impairment loss is the difference between the carrying amount and the present value of the estimated cash flows discounted at the asset's original effective interest rate. The impairment loss is recognised in profit or loss.

If there is a decrease in the impairment loss arising from an event occurring after the impairment was recognised, the impairment is reversed. The reversal is such that the current carrying amount does not exceed what the carrying amount would have been, had the impairment not previously been recognised. The impairment reversal is recognised in profit or loss.

Derecognition of financial assets

Financial assets are derecognised only when the contractual rights to the cash flows from the asset expire or are settled, or when the company transfers the financial asset and substantially all the risks and rewards of ownership to another entity, or if some significant risks and rewards of ownership are retained but control of the asset has transferred to another party that is able to sell the asset in its entirety to an unrelated third party.

Basic financial liabilities

Basic financial liabilities, including trade and other creditors, amounts owed to group undertakings and accruals payable within one year that do not constitute a financing transaction are initially measured at the transaction price and subsequently measured at amortised cost, being transaction price less any amounts settled.

Where the arrangement with a creditor constitutes a financing transaction, the creditor is initially measured at the present value of future payments discounted at a market rate of interest for a similar instrument and subsequently measured at amortised cost, being transaction price less any amounts settled and the cumulative amortisation (using the effective interest method) of any difference between the amount at initial recognition and the maturity amount.

Derecognition of financial liabilities

Financial liabilities are derecognised when, and only when, the company's contractual obligations are discharged, cancelled, or they expire.

Equity instruments

Equity instruments issued by the company are recorded at the fair value of proceeds received, net of transaction costs. Dividends payable on equity instruments are recognised as liabilities once they are no longer at the discretion of the company.

Taxation

The tax expense represents the sum of the current tax expense and deferred tax expense. Current tax assets are recognised when tax paid exceeds the tax payable.

1 **Accounting policies (Continued)**

Current tax is based on taxable profit for the period. Current tax assets and liabilities are measured using tax rates that have been enacted or substantively enacted by the reporting date.

Deferred tax is calculated at the tax rates that are expected to apply to the period when the asset is realised or the liability is settled based on tax rates that have been enacted or substantively enacted by the reporting date.

Deferred tax liabilities are recognised in respect of all timing differences that exist at the reporting date. Timing differences are differences between taxable profits and total comprehensive income that arise from the inclusion of income and expenses in tax assessments in different periods from their recognition in the financial statements. Deferred tax assets are recognised only to the extent that it is probable that they will be recovered by the reversal of deferred tax liabilities or other future taxable profits.

Current tax assets and current tax liabilities and deferred tax assets and deferred tax liabilities are offset, if and only if, there is a legally enforceable right to set off the amounts and the entity intends either to settle on the net basis or to realise the asset and settle the liability simultaneously.

Employee benefits

The costs of short-term employee benefits are recognised as a liability and an expense, unless those costs are required to be recognised as part of the cost of stock or fixed assets.

The cost of any unused holiday entitlement is recognised in the period in which the employee's services are received.

Retirement benefits

The company operates a defined contribution scheme for the benefit of its employees. Contributions payable are charged to the profit or loss in the year they are payable.

The company contributes to the Football League Limited Pension and Life Assurance Scheme for certain former employees, the assets of which are held separately from those of the company in independently administered funds. The company is not able to identify its share of the assets and liabilities of the scheme but makes provision for the expected future cost of funding its obligations to fund benefits accrued at the reporting date, as advised by the Trustees (see note 21).

Share-based payments

Equity-settled share-based payments are measured at fair value at the date of grant by reference to the fair value of the equity instruments granted. The fair value determined at the grant date is expensed on a straight-line basis over the vesting period, based on the estimate of shares that will eventually vest. A corresponding adjustment is made to equity.

When the terms and conditions of equity-settled share-based payments at the time they were granted are subsequently modified, the fair value of the share-based payment under the original terms and conditions and under the modified terms and conditions are both determined at the date of the modification. Any excess of the modified fair value over the original fair value is recognised over the remaining vesting period in addition to the grant date fair value of the original share-based payment. The share-based payment expense is not adjusted if the modified fair value is less than the original fair value.

Cancellations or settlements (including those resulting from employee redundancies) are treated as an acceleration of vesting and the amount that would have been recognised over the remaining vesting period is recognised immediately.

LUTON TOWN FOOTBALL CLUB 2020 LTD

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

1 Accounting policies (Continued)

Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessees. All other leases are classified as operating leases.

Assets held under finance leases are recognised as assets at the lower of the assets fair value at the date of inception and the present value of the minimum lease payments. The related liability is included in the statement of financial position as a finance lease obligation. Lease payments are treated as consisting of capital and interest elements. The interest is charged to profit or loss so as to produce a constant periodic rate of interest on the remaining balance of the liability.

Rentals payable under operating leases, including any lease incentives received, are charged to profit or loss on a straight line basis over the term of the relevant lease except where another more systematic basis is more representative of the time pattern in which economic benefits from the leases asset are consumed.

Research and development expenditure

Research and development expenditure is written off against profits in the period in which it is incurred.

2 Judgements and key sources of estimation uncertainty

In the application of the company's accounting policies, the directors are required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised where the revision affects only that period, or in the period of the revision and future periods where the revision affects both current and future periods.

3 Turnover and other revenue

An analysis of the company's turnover is as follows:

	2024	2023
	£	£
Turnover analysed by class of business		
Matchday	6,190,409	5,065,826
League distributions	116,604,276	10,123,485
Commercial	9,527,171	3,237,350
	132,321,856	18,426,661

	2024	2023
	£	£
Turnover analysed by geographical market		
United Kingdom	132,321,856	18,426,661

LUTON TOWN FOOTBALL CLUB 2020 LTD

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

3 Turnover and other revenue (Continued)

	2024	2023
	£	£
Other operating income		
Other income	225,469	13,852
	225,469	13,852

Included in other income is £10,273 (2023: £13,852) in respect of donations received. The remaining £215,196 (2023: £nil) relates to insurance claims during the year.

4 Employees

The average monthly number of persons (including directors) employed by the company during the year was:

	2024	2023
	Number	Number
Football operations	142	121
Administration	90	81
Matchday	298	207
Total	530	409

Their aggregate remuneration comprised:

	2024	2023
	£	£
Wages and salaries	49,668,063	24,330,435
Social security costs	7,054,294	3,150,841
Pension costs	158,659	112,319
	56,881,016	27,593,595

5 Directors' remuneration

	2024	2023
	£	£
Remuneration for qualifying services	1,045,358	1,802,314
Company pension contributions to defined contribution schemes	51,638	21,619
	1,096,996	1,823,933

The number of directors for whom retirement benefits are accruing under defined contribution schemes amounted to 2 (2023 - 2).

LUTON TOWN FOOTBALL CLUB 2020 LTD

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

5 Directors' remuneration (Continued)

Remuneration disclosed above includes the following amounts paid to the highest paid director:

	2024	2023
	£	£
Remuneration for qualifying services	816,558	1,328,394
Company pension contributions to defined contribution schemes	41,403	16,236

6 Share-based payment transactions

In May 2023 equity settled share options over the parent company's shares with a total tax value of £120,000 were granted to certain officers of the company. The options are exercisable on the earlier of a sale of the parent company, retirement or 9 years 6 months from the grant date. The options are exercisable at a price equal to the market value of the corresponding shares at the grant date. That market value and the total number of options granted is pending agreement with the tax authorities. The directors have assessed the fair value of the options granted with reference to the total tax value adjusted to an unrestricted market value basis.

As the total tax value is limited to £120,000, the directors do not anticipate that the accounting charge, once finalised will be material and as such, no accounting charge has been recognised in the company accounts in the current period.

7 Operating profit/(loss)

Operating profit/(loss) for the year is stated after charging:	2024 £	2023 £
Depreciation of owned tangible fixed assets	405,342	209,900
Depreciation of tangible fixed assets held under finance leases	1,097	14,964
Amortisation of intangible assets	9,424,952	2,395,107
Operating lease charges	2,969,002	364,522

8 Auditor's remuneration

Fees payable to the company's auditor and its associates:	2024 £	2023 £
For audit services		
Audit of the financial statements of the company	45,050	35,000
For other services		
Taxation compliance services	6,700	4,250
All other non-audit services	6,500	5,175
	13,200	9,425

LUTON TOWN FOOTBALL CLUB 2020 LTD

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

9 Interest receivable and similar income

	2024	2023
	£	£
Interest income		
Interest on bank deposits	584,457	43
Other interest income	25	-
Total income	584,482	43

10 Taxation

	2024	2023
	£	£
Current tax		
UK corporation tax on profits for the current period	4,623,032	-
Deferred tax		
Origination and reversal of timing differences	6,040,747	(8,044,384)
Adjustment in respect of prior periods	(2,885,306)	112,519
Total deferred tax	3,155,441	(7,931,865)
Total tax charge/(credit)	7,778,473	(7,931,865)

The total tax charge/(credit) for the year included in the statement of comprehensive income can be reconciled to the profit/(loss) before tax multiplied by the standard rate of tax as follows:

	2024	2023
	£	£
Profit/(loss) before taxation	49,467,297	(16,293,595)
Expected tax charge/(credit) based on the standard rate of corporation tax in the UK of 25.00% (2023: 20.50%)	12,366,824	(3,339,518)
Tax effect of expenses that are not deductible in determining taxable profit	58,346	11,523
Tax effect of income not taxable in determining taxable profit	-	(1,066)
Group relief	(1,799,503)	-
Deferred tax adjustments in respect of prior years	(2,885,306)	112,519
Other	-	1,681
Fixed asset differences	38,112	(1,428)
Recognition of a deferred tax asset on prior period tax losses not previously recognised as a deferred tax asset	-	(4,715,576)
Taxation charge/(credit) for the year	7,778,473	(7,931,865)

LUTON TOWN FOOTBALL CLUB 2020 LTD

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

11 Player trading

The total sums payable in respect of transfer fees, compensation fees, loan fees and subsequent payments that have become due under transfers totalled £5,520,879 (2023: £4,964,712) at the reporting date and is included in trade creditors.

The total sums receivable in respect of transfer fees, compensation fees, loan fees and subsequent payments that have become due under transfers totalled £2,182,972 (2023: £532,214) at the reporting date and is included in trade debtors.

12 Intangible fixed assets

	Player registrations £
Cost	
At 1 July 2023	11,850,474
Additions	26,817,989
Disposals	(5,365,059)
Adjustment to consideration	(813,410)
At 30 June 2024	32,489,994
Amortisation	
At 1 July 2023	3,964,759
Amortisation charged for the year	9,424,952
Disposals	(3,193,155)
At 30 June 2024	10,196,556
Carrying amount	
At 30 June 2024	22,293,438
At 30 June 2023	7,885,715

The amortisation charge for the year is recognised within cost of sales.

LUTON TOWN FOOTBALL CLUB 2020 LTD

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

13 Tangible fixed assets

	Fixtures, fittings and equipment	Motor vehicles	Total
	£	£	£
Cost			
At 1 July 2023	1,725,221	163,821	1,889,042
Additions	1,780,367	26,705	1,807,072
Disposals	-	(22,168)	(22,168)
At 30 June 2024	3,505,588	168,358	3,673,946
Depreciation			
At 1 July 2023	1,434,760	136,604	1,571,364
Depreciation charged in the year	397,320	9,119	406,439
Eliminated in respect of disposals	-	(22,168)	(22,168)
At 30 June 2024	1,832,080	123,555	1,955,635
Carrying amount			
At 30 June 2024	1,673,508	44,803	1,718,311
At 30 June 2023	290,461	27,217	317,678

The net carrying value of tangible fixed assets includes the following in respect of assets held under finance leases:

	2024	2023
	£	£
Motor vehicles	-	3,036

14 Stocks

	2024	2023
	£	£
Finished goods and goods for resale	147,070	180,320

During the year, stock with a carrying value of £140,916 (2023: £nil) was written off. The write off was recognised within cost of sales.

The difference between the carrying value of stock and its replacement cost is not material.

LUTON TOWN FOOTBALL CLUB 2020 LTD

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

15 Debtors

Amounts falling due within one year:	2024 £	2023 £
Trade debtors	4,657,300	1,337,276
Corporation tax recoverable	1,297,137	-
Other debtors	191,018	611,553
Prepayments and accrued income	1,461,609	668,608
	7,607,064	2,617,437
Deferred tax asset (note 20)	4,776,424	7,931,865
	12,383,488	10,549,302

Amounts falling due after more than one year:	2024 £	2023 £
Trade debtors	200,000	109,333
Amounts owed by group undertakings	7,490,565	-
	7,690,565	109,333
Total debtors	20,074,053	10,658,635

Amounts owed by group undertakings are unsecured, interest free and have no fixed date of repayment. These amounts are repayable on demand.

16 Creditors: amounts falling due within one year

	Notes	2024 £	2023 £
Obligations under finance leases	19	-	12,793
Other borrowings	18	-	2,538,375
Trade creditors		5,379,094	3,587,417
Amounts owed to group undertakings		-	11,804,327
Taxation and social security		2,964,759	622,712
Other creditors		288,187	33,767
Accruals and deferred income		8,360,974	13,534,471
		16,993,014	32,133,862

Amounts owed to group undertakings are unsecured, interest free and have no fixed date of repayment. These amounts are repayable on demand.

LUTON TOWN FOOTBALL CLUB 2020 LTD

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

17 Creditors: amounts falling due after more than one year

	2024	2023
	£	£
Trade creditors	1,000,000	2,475,000

18 Borrowings

	2024	2023
	£	£
Other loans	-	2,538,375
Payable within one year	-	2,538,375

During the year to 30 June 2020, the company received a loan from the English Football League ('EFL') of £584,000 to support the operation of the club during the COVID-19 pandemic. Repayments were originally due to be made in 6 equal bi-annual instalments and deducted from future EFL income. During the year to 30 June 2021, the EFL announced that repayments would be deferred as a result of the continuation of the COVID-19 pandemic with the first repayment due in October 2021. The terms of the loan stipulated that outstanding amounts became repayable on promotion to the Premier League. Following the Club's promotion to the Premier League in May 2023, the loan was repaid in the year. At the year end, £nil (2023: £194,800) was payable within one year. Amounts are included in other borrowings. No interest is charged on this loan.

During the year to 30 June 2021, the company received a loan from the English Football League ('EFL') of £5,364,384 to support the operation of the club during the COVID-19 pandemic. An additional drawdown of this loan was taken in July 2021, increasing the full value of the loan to £6,130,724. Repayments were to be made in 6 equal instalments and deducted from future Premier League Solidarity income. The terms of the loan stipulated that outstanding amounts became repayable on promotion to the Premier League. Following the Club's promotion to the Premier League in May 2023, the loan was repaid in the year. As a result at the year end £nil (2023: 2,043,575) was payable within one year. Amounts are included in other borrowings. No interest is charged on this loan.

During the prior year, £3,100,000 was advanced from individuals who are directors or quasi directors of the company. The amounts were interest free, unsecured and repayable on demand. After repayments, £nil (2023: £300,000) was outstanding within one year and included in other borrowings.

19 Finance lease obligations

	2024	2023
Future minimum lease payments due under finance leases:	£	£
Less than one year	-	12,793

Finance lease terms represented rentals payable by the group for certain motor vehicles. The average lease term was 5 years. The liability was secured on the related assets.

LUTON TOWN FOOTBALL CLUB 2020 LTD

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

20 Deferred taxation

Deferred tax assets and liabilities are offset where the company has a legally enforceable right to do so. The following is the analysis of the deferred tax balances (after offset) for financial reporting purposes:

Balances:	Assets 2024 £	Assets 2023 £
ACAs	(233,451)	(53,728)
Tax losses	4,935,800	7,923,527
Short term timing differences	74,075	62,066
	4,776,424	7,931,865

Movements in the year:	2024 £
Asset at 1 July 2023	(7,931,865)
Charge to profit or loss	3,155,441
Asset at 30 June 2024	(4,776,424)

The deferred tax asset set out above is expected to reverse within 12 months and relates principally to the utilisation of tax losses against future expected profits of the same period.

21 Retirement benefit schemes

Defined contribution schemes	2024 £	2023 £
Charge to profit or loss in respect of defined contribution schemes	158,659	112,319

A defined contribution pension scheme is operated for all qualifying employees. The assets of the scheme are held separately from those of the company in an independently administered fund. Contributions totalling £24,509 (2023: £15,888) were payable to the fund at the reporting date and are included in other creditors.

Defined benefit schemes

Luton Town Football Club ('the Club') participates in the Football League Pension and Life Assurance Scheme ('the Scheme'). The Scheme is a funded multi-employer defined benefit scheme, with 92 participating employers, and where members may have periods of service attributable to several participating employers. The Club is unable to identify its share of the assets and liabilities of the Scheme and therefore accounts for its contributions as if they were paid to a defined contribution scheme.

The last actuarial valuation was carried out at 31 August 2023 where the total deficit on the on-going valuation basis was £20.554 million. The key assumptions used to calculate the deficit at the 31 August 2023 actuarial valuation are:

LUTON TOWN FOOTBALL CLUB 2020 LTD

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

21 Retirement benefit schemes (Continued)

Valuation	
Discount Rate:	Gilt Yield Curve + 0.5% per annum
RPI inflation:	Bank of England Inflation Curve
Pension Increases:	Fixed 3.0% per annum for benefits accrued prior to 6 April 1997, and modelled using the RPI inflation assumption with a cap of 5.0% per annum and a floor of 3.0% per annum for benefits accrued after 6 April 1997
Morality (pre-retirement):	None
Morality (post-retirement):	SAPS (Series 3) with CMI_2022 projections, a long-term improvement rate of 1.5% p.a. and an initial additional parameter of 0.5% p.a.

The accrual of benefits ceased within the Scheme on 31 August 1999, therefore there are no contributions relating to current accrual. The Club pays monthly contributions based on a notional split of the total expenses and deficit contributions of the Scheme.

The results of the 2023 valuation were rolled forward to 30 June 2024 on the same assumptions as detailed above, and the Club's notional share of the deficit was £222,833 (£212,164 as at 30 June 2023).

As at 30 June 2024, the Club was paying total contributions of £4,800 per month (increasing by 5% p.a. on 1 September each year) which based on the actuarial valuation assumptions detailed above will be sufficient to pay off the deficit by 30 November 2028.

As at 30 June 2024, based on an appropriate discount rate of 4.96% per annum (6.39% per annum as at 30 June 2023), the present value of the Club's outstanding contributions (i.e. their future liability) is £258,903 (£217,264 as at 30 June 2023). This amounts to £60,007 (30 June 2023: £57,142) due within one year and £198,896 (30 June 2023: £160,122) due after more than one year and is included within other payables.

	2024 £	2023 £
Present value of defined benefit obligations	258,903	217,264
Deficit in scheme	258,903	217,264

Movements in the present value of defined benefit obligations	2024 £
Liabilities at 1 July 2023	217,264
Deficit contributions	(57,142)
Net interest charge	12,067
Remeasurement	86,714
Liabilities at 30 June 2024	258,903

The defined benefit obligations arise from plans which are wholly or partly funded.

LUTON TOWN FOOTBALL CLUB 2020 LTD

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2024

21 Retirement benefit schemes (Continued)

Income and Expenditure Impact

	2024 £	2023 £
Net interest charge (unwinding of discount rate)	12,067	8,334
Remeasurement (changes in assumptions)	3,553	(13,009)
Remeasurement (change to contribution schedule)	83,161	-

Assumptions

	2024	2023
Discount Rate (based on AA Corporate Bond Yields of appropriate currency/duration)	4.96%	6.39%

The funding objective of the Trustees of the Scheme is to have sufficient assets to meet the Technical Provisions of the Scheme. In order to remove the deficit revealed at the previous actuarial valuation (dated 31 August 2023), deficit contributions are payable by all participating clubs. Payments are made in accordance with a pension contribution schedule. As the Scheme is closed to accrual, there are no additional costs associated with the accruing of members' future benefits. In the case of a club being relegated from the Football League and being unable to settle its debt then the remaining clubs may, in exceptional circumstances, have to share the deficit.

Upon the wind-up of the Scheme with a surplus, any surplus will be used to augment benefits. Under the more likely scenario of there being a deficit, this will be split amongst the clubs in line with their contribution schedule. Should an individual club leave the Scheme, they may be required to pay their share of the deficit based on a proxy buyout basis (i.e. valuing the benefits on a basis consistent with buying out the benefits with an insurance company).

22 Share capital

	2024 Number	2023 Number	2024 £	2023 £
Ordinary share capital				
Issued and fully paid				
Ordinary shares of £1 each	18,145,003	18,145,003	18,145,003	18,145,003

The shares have attached to them full voting, dividend and capital distribution (including on winding up) rights.

23 Reserves

Profit and loss reserves
Cumulative profit and loss and capital contributions net of distributions to owners.

24 Operating lease commitments

Lessee

At the reporting end date the company had outstanding commitments for future minimum lease payments under non-cancellable operating leases, which fall due as follows:

	2024	2023
	£	£
Within one year	669,495	169,748
Between one and five years	858,801	434,871
	1,528,296	604,619

25 Contingent assets and liabilities

Player registration fees

Excluding items already provided in the Statement of Financial Position, at 30 June 2024 the Company had a contingent liability to pay up to £1,361,000 of additional transfer fees (2023: £1,140,000) in respect of players under contract, dependent upon a number of contingent events occurring after the year end, such as players making specific numbers of appearances and gaining international honours. These amounts have not been included in the financial statements as it is not probable that a liability will arise.

At 30 June 2024, the Company had expected contingent sums receivable of £1,705,000 (2023: £2,296,000) in respect of players sold, should certain contingent events occur. The total contingent sum receivable is based on the probable outcome of a range of factors.

26 Events after the reporting date

Since the year end, Luton Town Football Club has acquired and extended a number of player registrations at an initial cost of £8.4m. Additionally a number of player registrations were disposed of with an associated net book value of £4.5m. These transactions will be accounted for in the year ending 30 June 2025.

27 Related party transactions

Loans have been advanced by three individuals who are related by virtue of being significant shareholders in the company and/or directors of the company. These loans are as disclosed in 18.

During the year the company advanced £26,603,044 (2023: £1,536,210) to a fellow group company and was recharged £7,308,152 (2023: £11,572,000) from the same fellow group company. After advances and recharges, £7,490,565 was due from the fellow group undertaking at the reporting date (2023: £11,804,327 due to the fellow group undertaking).

28 Parent company

The immediate and ultimate parent company is 2020 Holdings (England) Limited, a private company registered in England and Wales. The smallest and largest group in which the company's accounts are consolidated is that of 2020 Holdings (England) Limited, the accounts are available from Kenilworth Stadium, 1 Maple Road, Luton, Bedfordshire, LU4 8AW.